

The Stephen Curry Effect: How an MVP Season Reshaped the Returns to Three-Point Shooting in the NBA

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Abstract

This paper estimates the effect of the NBA's three-point revolution on player compensation using a difference-in-differences framework centered on Stephen Curry's 2015-16 MVP season as the structural break. Combining a panel dataset of 6,403 player-season observations from 2008 to 2022 with an event study design, I find that high-volume three-point shooters generated an approximately 21.2% salary premium after 2015 relative to non-shooters with identical box-score productivity. While this figure represents a combined macroeconomic shift, a continuous treatment specification isolates the causal behavioral mechanism: each additional three-point attempt per game leads to a 4.2% salary premium in the post-2015 era ($p < 0.001$), an effect that survives player fixed effects on the subsample of 387 players spanning both periods (4.0% premium, $p = 0.020$). Surprisingly, three-point accuracy alone does not lead to any independent salary premium, suggesting that NBA front offices price the spacing and offensive gravity generated by shot volume rather than solely shooting efficiency. Analysis reveals that the revolution's salary impact operated through two channels: a behavioral valuation channel (individual players were rewarded for increasing their shooting volume after 2015) and a compositional channel (the league replaced non-shooters with shooters in rosters). These findings

contribute to the sports labor economics literature by documenting the macroeconomic wage shift of the three-point revolution and isolating its within-player causal effect.

I Introduction

The modern National Basketball Association (NBA) is defined by its use of the three-point shot. Over the past decade, the league has undergone a fundamental transformation in playing style, shifting away from post-up play and mid-range jumpers towards perimeter shooting. In the 2008 season, the average NBA player attempted roughly 1.5 three-pointers per game; by 2022, that figure had nearly doubled to 3.0 attempts per game. While this "three-point revolution" is studied for on-court strategy and shot selection, its impact on the NBA labor market is less understood.

This paper investigates the relationship between player compensation and three-point shooting proficiency, identifying Stephen Curry's 2015-16 MVP season as the catalyst that permanently changed the league's valuation of shooting skill. Prior to 2015, three-point specialists were often viewed as complementary role players rather than foundational stars. However, the unprecedented success of the Golden State Warriors demonstrated that an offense built entirely around three-point volume could dominate the league. That championship roster sparked a league-wide philosophical shift: front offices began pursuing perimeter shooters, and the proportion of players exceeding the pre-period volume threshold rose from 38.1% in 2015 to 53.9% by 2022 (see Figure 3, Panel C).

Several simultaneous institutional factors support the selection of 2015 as the structural break. For instance, the NBA signed a nine-year, \$24 billion national television deal in 2014 that took effect for the 2016-17 season, producing a one-time salary cap increase of approximately 34% (from \$70 million to \$94.1 million). This surge of capital gave teams both the financial resources and the strategic motivation to allocate marginal salary dollars toward the type of player that the Warriors had shown to be influential. Additionally, the broader sports analytics movement had reached a critical mass by 2015, bringing a translation of on-court data into roster decisions. If the logical arguments for 2015 are not sufficient,

a sensitivity analysis of alternative break years (Table 6) confirms that the 2015 threshold maximizes the estimated interaction coefficient and model fit.

The central research question pursued in this study is: *To what extent did the NBA's three-point revolution structurally revalue perimeter shooting volume, and how did this premium manifest through the valuation of existing players versus a shift in league-wide roster composition?* To answer this, I investigate whether the wage premium for high-volume and high-accuracy three-point shooters increased significantly after the 2015 season.

The results reveal a substantial and statistically significant salary premium for three-point shooting volume. High-volume three-point shooters experienced an approximate 21.2% increase in their salaries following the 2015-16 season relative to non-shooters with equivalent box-score productivity. I identify two distinct channels for this effect: a *valuation channel*, where the same individual player earned more for their shooting volume after the break, and a *compositional channel*, where the league replaced non-shooters with shooters in roster construction. The valuation effect remains significant under player fixed effects (12.6%), confirming a fundamental repricing of the skill.

The remainder of the paper proceeds as follows. Section II reviews the related literature on NBA salary determination and the three-point revolution. Section III describes the data sources, panel construction, and sample restrictions. Section IV presents the empirical strategy, including treatment definitions, model specifications, and identifying assumptions. Section V reports the main results, event study estimates, and robustness checks. Section VI discusses the economic interpretation and limitations. Section VII concludes and summarizes problems encountered during the analysis.

II Background and Literature Review

A The Three-Point Revolution in Context

The three-point line was introduced to the NBA in the 1979-80 season, but for decades it remained a secondary shot choice. League strategy emphasized post-up play, mid-range

shooting, and interior scoring; the three-pointer was a tool for designated specialists rather than an offensive philosophy.

The analytical groundwork for the revolution was laid in the early 2010s. Work by Goldsberry (2012) and the Houston Rockets' front office under Daryl Morey demonstrated that the three-point shot was substantially more efficient than the long two-pointer: a three-point attempt at 35% accuracy yields 1.05 expected points per shot, equivalent to a 52.5% two-point field goal, a threshold few players achieve from mid-range. Notably, Mikołajec et al. (2013) found that pre-revolution team success was driven by interior play and offensive efficiency rather than three-point shooting, consistent with the era's strategic priorities.

Despite this evidence, institutional inertia and coaching preferences for traditional strategies slowed the league's adjustment. Stephen Curry's 2015-16 season broke through this inertia. Curry averaged 30.1 points and 11.2 three-point attempts per game, made a single-season record 402 threes, and led the Warriors to a historic 73-9 record. His unanimous MVP selection provided proof that extreme perimeter volume could power the most dominant team in league history, and the league responded: between 2015 and 2019, average three-point attempts per game rose by over 40% (Figure 3, Panel A).

B Salary Determination in Professional Basketball

The foundational paper on NBA pay and performance establishes the methodological baseline for this project. Berri and Krautmann (2006) provide the first systematic examination of incentive effects in guaranteed NBA contracts, using panel regressions of log salary on individual box-score statistics to test whether guaranteed pay reduces on-court effort. Their log-salary framework of regressing the natural log of compensation on performance metrics while controlling for player and time effects has become the standard approach in the sports economics literature and is adopted in this paper.

Lyons et al. (2015) estimate the determinants of NBA player salaries and find that three-point shots made is *not* a statistically significant predictor of salary in their sample – a null result that serves as the natural foil for this paper's central hypothesis. More recent work sup-

ports a post-revolution premium: Feng et al. (2023) find that three-point shooting proficiency is a significant determinant of contemporary NBA salaries, and Riccardi and Paul (2025) find that three-point specialists earn less than elite playmakers in absolute terms, consistent with shooting being valued as a complement to other skills rather than a substitute.

C Contribution

This paper sits at the intersection of the economics of salary determination in professional basketball and the growing interest on how the three-point revolution reshaped NBA strategy and team construction. However, no study – to my knowledge – has used a difference-in-differences design to estimate whether the three-point revolution produced a measurable, differential increase in salary compensation for three-point specialists relative to non-shooters. By using the post-2015 structural break in league-wide shot selection and roster construction, this study provides the first systematic decomposition of the revolution’s labor-market impact into its causal and compositional channels.

III Data

A Sources and Panel Construction

The data for this analysis comprises a comprehensive panel dataset of National Basketball Association (NBA) player performance metrics and annual player compensation spanning the 2008 to 2022 seasons. To construct this dataset, two primary sources of historical NBA data were integrated (Lauton, 2023):

1. A database of player-season statistics measuring on-court actions, including scoring, rebounding, passing, three-point shooting volume, and three-point shooting accuracy.
2. Annual compensation matching players to their earnings for the following season.

The structure of the data operates at the player-season level, where each observation represents one player’s performance and compensation during a single NBA regular season. To

capture the full horizon surrounding the 2015 structural break, the analysis window spans fifteen seasons, allowing for pre-treatment observations to test parallel trends and post-treatment observations to measure effects. The final sample contains 6,403 unique player-season observations distributed across 1,414 distinct NBA players. Because careers begin, end, and vary in duration, the resulting panel is unbalanced, with 3,310 observations in the pre-period (2008-2015) and 3,093 in the post-period (2016-2022).

B Data Manipulations and Sample Restrictions

Raw data contains noise that can bias econometric estimates if left untreated. To ensure the analysis captures meaningful statistical relationships, the sample is restricted to players who appeared in at least 10 regular-season games during a given campaign, which removes the extreme lower tail of occasional appearances (such as 10-day contracts). Additionally, the dependent variable is transformed to the natural logarithm of nominal salary, yielding percentage-based coefficient interpretations consistent with the standard sports economics framework (Berri and Krautmann, 2006). Full details on intra-season deduplication, missing value imputation, and nominal salary structure are provided in Appendix B.

C Summary Statistics

Table 1 reports summary statistics for the full sample. The average player in the dataset earns \$5.76 million (log salary: 14.93), attempts 2.16 three-pointers per game with a 27.4% success rate, scores 8.97 points per game, and is approximately 26.4 years old. Table 2 decomposes these statistics by period, revealing that league-wide three-point attempt volume increased substantially from a mean of 1.70 3PA/G in the pre-period to 2.65 3PA/G in the post-period – a 56% increase – while three-point accuracy also rose modestly from 24.7% to 30.2%. Mean salary increased from \$4.64 million to \$6.96 million, reflecting general salary cap growth and the compositional shifts documented in this paper.

IV Empirical Strategy

A Treatment Definitions and Endogeneity

As established earlier, Stephen Curry's 2015-16 MVP campaign served as a structural break that catalyzed a league-wide embrace of perimeter shooting. The core research question is whether this "Stephen Curry effect" caused the salary premium for three-point shooting skill to increase after 2015. However, estimating this causal effect is complicated by behavioral endogeneity. A player's three-point volume in a given season ($3PA/G_t$) is a choice variable jointly determined with their salary. The structural break could drive changes in the salary structure through three distinct mechanisms:

1. **Valuation:** Teams increased pay for 3-point shooters who were already in the league.
2. **Composition:** Teams started recruiting natural shooters and cutting non-shooters.
3. **Behavioral:** Existing players actively chose to lean into three-point shooting.

The baseline difference-in-differences specification is designed to estimate the *combined* macroeconomic effect of all three mechanisms. To avoid shifting the goalposts, the thresholds for "high volume" and "high accuracy" are fixed to the top-tercile cutoffs calculated exclusively from the pre-Curry data (2008-2015). These thresholds are used to classify every player-season observation across the full panel:

- **HighVolume** = 1 if 3-Point Attempts per Game ≥ 2.329 (pre-period top-tercile)
- **HighAccuracy** = 1 if 3-Point Percentage ≥ 0.350 (pre-period top-tercile)

Table 3 presents a pre-treatment balance table using only pre-period data. Treated players earn more (\$6.07M vs. \$3.93M), score more (12.4 vs. 6.8 PPG), and distribute more assists (2.9 vs. 1.4 APG), while rebounds per game are similar (3.63 vs. 3.85). The differences are concentrated in offensive output rather than physical characteristics, motivating the inclusion of performance controls in all specifications and supporting the interpretation that treatment status reflects strategic role rather than player type.

The post-treatment period is defined as $\text{Post2015} = 1$ for seasons 2016 onward. This threshold corresponds to the rapid diffusion of analytics-driven roster construction, the break-out success of the Golden State Warriors, and the sharp spike in the salary cap following the new national television deal. As Figure 3 (Panel C) illustrates, the share of players exceeding the fixed volume cutoff was approximately 33% before 2015 but rises dramatically afterward, reaching over 55% by 2022. This illustrates how the league-wide shift toward three-point shooting substantially increased the number of players who would qualify as “high volume” by pre-period standards.

One might object that Figure 3 Panel A shows the upward trend in league-wide three-point attempts beginning before 2015, suggesting the on-court revolution predated the structural break studied here. This observation is accurate but does not undermine the 2015 threshold, because the relevant break is in *salary valuation*, not shot selection. Shot selection reflects analytical groundwork laid in the early 2010s; the labor-market premium for that shooting is what we aim to date. Table 6 addresses this directly by testing every break year from 2012 to 2019: the 2012 break is statistically insignificant (0.054, $p = 0.264$), the 2014 break produces a smaller coefficient (0.171), and the 2015 break maximizes both the interaction coefficient (0.192) and model fit ($R^2 = 0.5260$). The 2014 result does suggest some early-mover repricing may have begun before Curry’s MVP season, but 2015 is when the premium became largest and most consistent.

B Model Specifications

This paper utilizes five distinct econometric models to estimate the salary premium, ranging from a baseline two-way fixed effects Difference-in-Differences (DiD) model to more demanding continuous-treatment and player fixed-effects specifications. An event-study design is also employed to confirm the parallel trends assumption and trace the year-by-year emergence of the premium. The formal mathematical equations and detailed descriptions of all five models are provided in Appendix C.

C Treatment Group Stability

Because HighVolume is defined by contemporaneous three-point attempt rates, 38.4% of multi-season players switch treatment status at least once. Section V.D reports alternative specifications – static pre-period definitions, both-period subsamples, and continuous treatment with player fixed effects – that check whether this instability drives the result.

D Identifying Assumptions

D.1 Parallel Trends

The central identifying assumption for the DiD design is that, in the absence of the post-2015 structural shift, the salary trajectories of high-volume shooters and non-shooters would have evolved in parallel. This is untestable in the post-period but is assessed empirically using pre-treatment data through the event study specification. Figure 2 confirms that the pre-2015 coefficients for HighVolume are statistically indistinguishable from zero and show no systematic trend, supporting the parallel trends assumption. Figure 4 provides visual confirmation by plotting group means of log salary for treated and control groups over time; the two series track each other closely through 2015 before diverging. Additional formal discussions regarding the exogeneity of the 2015 threshold, potential SUTVA violations from salary cap spillovers, and attenuation bias from contract lock-in are detailed in Appendix D.

V Results

A Main DiD Estimates

Table 4 reports the primary difference-in-differences estimates across three specifications. These baseline models estimate the combined macroeconomic effect of all three mechanisms introduced in Section IV (valuation, composition, and behavioral). The results yield a clear and economically significant finding: the post-2015 market rewarded three-point volume, but placed near-zero premium on efficiency.

In the baseline specification (Column 1), the coefficient on $\text{HighVolume} \times \text{Post2015}$ is 0.192 ($p < 0.001$), implying that high-volume three-point shooters earned approximately 21.2% more after 2015 relative to non-shooters with identical points, rebounds, assists, and age. For a player at the sample mean salary of \$5.76 million, this translates to an approximate \$1.22 million annual wage premium. This premium reflects the total shift in the NBA labor market across all three channels. The pre-2015 HighVolume group earned \$6.07 million on average, significantly more than the \$3.93 million earned by the control group ($p < 0.001$), reflecting the underlying premium for high-volume shooters even before the structural break.

The result remains significant when time-varying controls are added (Column 2). The interaction coefficient is 0.141 ($p = 0.012$), indicating that the volume premium is not an artifact of general changes in the market's pricing of points, rebounds, or assists. The slight attenuation from 0.192 to 0.141 suggests that part of the baseline premium reflects the post-2015 market's general repricing of offensive productivity, but the three-point-channel remains economically and statistically significant.

Under the most demanding specification with player fixed effects (Column 3), the coefficient attenuates to 0.119 ($p = 0.029$), corresponding to a 12.6% within-player premium. The attenuation from 0.192 to 0.119 is consistent with mild positive selection: high-volume shooters are somewhat better players on other dimensions that are absorbed by the player fixed effect. However, the persistence of a significant premium under player fixed effects confirms that this is not merely a compositional result, but that individual players who operated at high volume in the post-period earned substantially more than they did at lower volume in the pre-period.

In contrast, the coefficient on $\text{HighAccuracy} \times \text{Post2015}$ is statistically indistinguishable from zero across all three specifications: -0.046 ($p = 0.331$), -0.047 ($p = 0.339$), and -0.026 ($p = 0.511$) in Columns 1-3 respectively. Meaning, the market did not price shooting accuracy after 2015.

B Event Study

Figure 2 plots the year-by-year interaction coefficients from the event study specification. The left panel (HighVolume) shows pre-2015 coefficients that are tightly clustered around zero and statistically insignificant, providing clean visual confirmation of the parallel trends assumption. Immediately following 2015, the coefficients shift upward, with several post-period estimates in the 0.20-0.40 range and significantly different from zero. The right panel (HighAccuracy) has coefficients that hover around zero across the *entire* 2008-2022 window.

C Additional Robustness Checks

To ensure the baseline difference-in-differences estimates are not driven by arbitrary methodological choices, a series of robustness checks are provided in Appendix A. These include testing sensitivity to alternative volume cutoffs (Table 7) and alternative structural break years (Table 6). Furthermore, replacing the binary indicator with a continuous treatment specification (Table 8) confirms that higher volume monotonically increases the premium, avoiding concerns about discrete group switching. Finally, a lagged specification addressing simultaneity bias yields a consistent and significant premium (Table 11). Across all specifications, the core finding remains robust.

D Robustness: Decomposing the Mechanisms (Treatment Stability)

The baseline DiD establishes *that* a premium exists; this section asks *how* it operates. Each of the three mechanisms introduced in Section IV – valuation, composition, and behavioral – makes a distinct prediction about which players should benefit and when. Table 10 isolates these channels by progressively restricting the sample and redefining the treatment, using the 21.2% headline figure as the target to decompose: how much reflects teams rewarding pre-existing natural shooters (valuation), how much reflects roster turnover toward shooters (composition), and how much reflects within-player behavioral change (behavioral)?

First, to isolate **Mechanism 1 (Valuation)**, I restrict the sample to the 861 players who appear in the pre-period and apply a *static* treatment definition based strictly on their pre-

period average 3PA/G. Because this definition is pre-determined, it cannot be influenced by post-2015 salary trends. Note that this specification does not include player fixed effects. The DiD coefficient is statistically indistinguishable from zero (-0.044 , $p = 0.366$). This implies that teams did *not* increase compensation for pre-existing "natural" shooters unconditionally.

To provide an even more demanding test of the valuation channel, Table 10 also reports a specification that interacts a player's continuous static "innate 3Pt ability" (their pre-period average 3PA/G) with the Post2015 dummy, while including both season and player fixed effects. This specification tests whether pre-existing "natural" shooters received an unconditional salary bump simply for possessing the skill. The resulting coefficient is 0.0182 and is statistically insignificant ($p = 0.486$). This confirms that the market did not blindly reward players for their innate type; rather, the premium was strictly behavioral and compositional.

Instead, the massive baseline result is primarily driven by the remaining two mechanisms. **Mechanism 2 (Composition)** is evident in the sample demographics: the 553 post-only entrants have a HighVolume rate of 42.4%, compared to only 24.8% for the 474 players who exited before 2015. Teams explicitly recruited players who fit the new shooting paradigm and cut those who did not, producing the highly significant baseline correlation.

Finally, **Mechanism 3 (Behavioral)** is confirmed by isolating the 387 players who span both periods. As shown in Table 8, a continuous treatment specification with player fixed effects yields a significant positive coefficient (0.0395, $p = 0.020$). This identifies the pure within-player causal effect: an individual player who actively chose to lean into three-point shooting in the post-period was rewarded with a higher salary than when they shot at lower volume in the pre-period. So, while pre-existing natural shooters did not receive an unconditional premium, players who adapted to the new equilibrium were compensated for this.

D.1 Control Variables and the "Bad Control" Problem

Including contemporaneous box-score statistics (points, assists, etc.) as controls raises a potential "bad control" concern, since shooting more threes may mechanically increase points scored. However, holding productivity constant is precisely the goal of the specification.

Without the points control, the 21.2% premium would trivially reflect the fact that high-volume shooters score more per game – a consequence of taking more shots at the highest expected-value rate in the game. That would be an uninteresting result about shot selection, not the market’s valuation of shooting skill.

By conditioning on points, rebounds, assists, and age, the specification asks a more precise question: among players who produce *the same box-score statistics*, do those who scored via three-pointers earn more than those who scored via two-pointers? The answer – 21.2% more in the post-2015 period – isolates the premium teams pay for *how* points are generated. A player who scores 15 points on threes forces defenders beyond the arc, stretching the floor for teammates; the same 15 points on mid-range twos generate no such benefit. The coefficient captures that externality.

VI Discussion

A Economic Interpretation: Volume vs. Accuracy

The finding that volume, not accuracy, drives the post-2015 salary premium might seem counterintuitive at first glance. Why would teams pay a premium for a player who shoots frequently but not necessarily efficiently? The answer is rooted in the concept of “offensive gravity.” A player who attempts many three-pointers per game forces defenders to stay close to them on the perimeter. This defensive attention stretches the floor, creating valuable physical space in the middle of the court. With defenders pulled away from the basket, teammates benefit from wider driving lanes to the hoop and cleaner passing angles. This spacing externality operates regardless of whether the shooter converts at an elite rate, because the mere *threat* of the high-volume shot is sufficient to alter defensive geometry.

Conversely, a player with elite accuracy on negligible volume (e.g., one attempt per game) fails to generate this spacing effect because defenses do not need to alter their structure to guard them. The market thus rewards the *behavior* of shooting rather than strictly the *efficiency* of the skill. This is consistent with Gou and Zhang (2022)’s team-level finding that

outside-focused offensive strategies yield higher win probabilities regardless of opponent strength.

This finding directly updates Lyons et al. (2015), who found no 3-point premium in pre-revolution data. The transition from null to significant premium is seen in Figure 4, where the log-salary gap between HighVolume and non-HighVolume players widens after 2015.

B Relationship to Prior Literature

The results extend the findings of Feng et al. (2023) by demonstrating that the relationship between three-point proficiency and salary is a post-2015 phenomenon rather than a stable feature of the NBA salary structure. They also complement Riccardi and Paul (2025): the finding that three-point specialists earn less than elite playmakers in absolute terms is consistent with the interpretation that the shooting premium, while real, remains partial – volume is valued as a complement to other skills, not a substitute for them.

C Limitations

C.1 Endogeneity and the Three-Channel Interpretation

A major criticism of using a binary time-varying HighVolume indicator is that it relies on players switching in and out of the treatment group. This switching could reflect short-term variance or contract-year "padding" rather than a fundamental shift in a player's role. To make this concern precise: suppose a player approaching free agency strategically inflates their three-point attempt rate to signal shooting capability and secure a larger deal. In the post-2015 period – when the market reward for volume is large and widely understood – this incentive is strongest. If such contract-year volume inflation is systematic, the estimated 21.2% premium would conflate the causal repricing of shooting skill with reverse causation: anticipated salary gains inducing greater volume, rather than volume being rewarded unconditionally. This reverse-causality story has a testable prediction: if players are gaming their volume in response to expected salary rewards, then contemporaneous 3PA/G should show a *larger* premium than lagged 3PA/G, because lagged behavior cannot be a strategic response

to a current-year salary target. Table 11 directly falsifies this prediction: the lagged binary coefficient (26.0%) *exceeds* the contemporaneous estimate (21.2%), and the lagged continuous coefficient (4.7%) likewise exceeds the baseline (4.2%). The premium grows when we use temporally prior behavior, providing strong evidence that strategic volume inflation is not responsible for the headline result. The full mechanism decomposition – separating valuation, composition, and behavioral channels – is presented in Section V.D.

C.2 Other Limitations

Multi-year contracts generate attenuation bias. Player salaries frequently reflect outdated valuations from contracts signed one to five years prior, artificially compressing the observed premium. The true contemporaneous market valuation of three-point volume is likely *larger* than the reported estimates.

The coincidence of the 2016 salary cap spike with the post-treatment period is a significant confound. Although season fixed effects absorb the average level effect of the cap increase, if the cap spike disproportionately inflated salaries for exactly the types of players classified as treated – which is plausible if teams used their newly available cap space to sign shooters – then the interaction term partly reflects this distributional effect rather than a pure repricing of three-point skill. A future robustness check normalizing salary as a fraction of the salary cap could address this concern more directly.

Finally, as detailed in Appendix D, the SUTVA violation inherent to a salary-capped league remains a structural limitation. Because bidding up the price of one attribute mechanically depresses the available funds for others, the estimated premium must be interpreted strictly as a *relative* shift in the wage structure rather than an absolute, independent increase.

VII Conclusion

Stephen Curry’s 2015-16 MVP campaign and the strategic ascension of the Golden State Warriors irrevocably changed the nature of professional basketball. By examining fifteen years of panel data encompassing 6,403 player-season observations, this study demonstrates that this

tactical revolution spilled profoundly into the NBA labor market. Teams transitioned from viewing three-point shooting as a secondary asset to actively pricing in steep premiums for high-volume shooters, increasing their salaries by approximately 21.2% relative to peers with identical box-score productivity. A continuous treatment specification confirms the valuation channel directly, estimating that each additional three-point attempt per game commands a 4.2% salary premium in the post-period – an effect that survives player fixed effects (4.0%) on the subsample of players spanning both periods.

The finding that volume, not accuracy, drives the premium carries a broader lesson about how professional sports organizations internalize externalities. The post-2015 market began compensating players not just for points scored, but for the floor spacing and offensive gravity that high-volume perimeter shooting generates for the entire lineup – a positive spillover that prior salary structures had priced at zero. The complementary discovery that this shift operated through both a valuation channel and a compositional channel is equally important: the three-point revolution did not merely change how existing players were paid, but fundamentally altered which players teams chose to employ.

Ultimately, this paper establishes a precise empirical claim: when a structural shock makes a previously unpriced positive spillover economically legible – here, the defensive distortion created by a credible long-range threat – competitive labor markets respond by explicitly compensating workers for providing it. Teams paid a 21.2% salary premium for floor spacing after 2015, even after controlling for every traditional productivity metric. The 2015 structural break is an unusually clean natural experiment documenting that process at scale.

Future work in this space could extend the analysis in several directions. First, examining whether traditional rim-protecting big men – centers and power forwards who do not shoot three-pointers – suffered an equivalent, inversely related salary penalty during the same period would directly test the salary-cap spillover hypothesis. Second, incorporating advanced tracking data could decompose the “gravity” mechanism more precisely, separating the effects of shot frequency from shot threat on teammate efficiency. Third, the innate 3P ability specification (Table 10, row 6) is already estimated and yields an insignificant coefficient

(0.0182, $p = 0.486$); future work could refine the static ability measure using career-first-two-years data, which is not available in the current dataset. Fourth, extending the sample beyond 2022 would allow assessment of whether the premium has plateaued or continued to grow as the league approaches a potential ceiling on three-point volume.

A Problems Encountered

The primary methodological challenge was defining a treatment classification that avoids endogeneity without collapsing power. The binary definition permits 38.4% of players to switch status, but Table 10 confirms this instability is driven by compositional turnover rather than misidentification, and the continuous specification resolves it ($p = 0.020$ with player FE). Contract lock-in introduces attenuation bias, as multi-year guaranteed salaries reflect outdated valuations. Finally, the 2016 salary cap spike coincides with the post-period, and while season fixed effects absorb the mean shift, heterogeneous distributional effects remain a confound. The salary cap's zero-sum constraint also means the treatment effect is best interpreted as an upper bound.

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VIII Tables and Figures

A Table 1: Summary Statistics of Key NBA Player Variables (2008–2022)

Variable	Observations	Mean	Std. Dev.	Min	Max
Salary (Millions \$)	6,403	5.763	6.682	0.042	45.781
Log Salary	6,403	14.934	1.217	10.646	17.639
3PA per Game	6,403	2.162	2.012	0.000	13.179
3P Percentage	6,403	0.274	0.156	0.000	1.000
PTS per Game	6,403	8.966	5.956	0.118	36.128
TRB per Game	6,403	3.805	2.446	0.000	15.987
AST per Game	6,403	1.961	1.830	0.000	11.738
Age	6,403	26.405	4.261	19.000	43.000

Notes: The analytic sample comprises 6,403 unique player-season observations spanning the 2008 to 2022 NBA seasons. The sample is restricted to players competing in a minimum of 10 games per season. Nominal salary figures are presented in millions of dollars. "PTS" = Points; "TRB" = Total Rebounds; "AST" = Assists; "3PA" = 3-Point Attempts. All performance statistics are reported on a per-game basis.

B Table 2: Summary Statistics by Period

Variable	Pre-2015 Mean	Pre-2015 SD	Post-2015 Mean	Post-2015 SD
Salary (\$)	4,640,266	4,723,411	6,964,940	8,110,245
Log Salary	14.828	1.089	15.048	1.331
3PA per Game	1.703	1.728	2.654	2.172
3P%	0.247	0.172	0.302	0.131
PTS per Game	8.703	5.755	9.248	6.153
TRB per Game	3.776	2.465	3.835	2.427
AST per Game	1.888	1.837	2.039	1.820
Age	26.646	4.237	26.146	4.273

Notes: Pre-2015 N = 3,310; Post-2015 N = 3,093. Three-point attempt volume increased by 56% between periods, while average salary increased by approximately 50%.

C Table 3: Pre-Treatment Balance Table (Seasons $\leq$ 2015)

Variable	Control Mean	Treated Mean	Difference	<i>p</i> -value
Salary (\$)	3,925,090	6,069,322	2,144,232	0.000
3PA per Game	0.646	3.815	3.168	0.000
3P%	0.189	0.363	0.174	0.000
PTS per Game	6.834	12.438	5.605	0.000
TRB per Game	3.851	3.627	−0.223	0.004
AST per Game	1.360	2.942	1.582	0.000
Age	26.390	27.158	0.768	0.000

Notes: Control N = 2,206; Treated N = 1,104. HighVolume = 1 if 3PA/G $\geq$ 2.329 (pre-period top-tercile cutoff). *P*-values from two-sample Welch t-tests. Treated players score more and distribute more assists, but rebounds per game—the variable most associated with positional size rather than shooting role—differs modestly across groups.

D Table 4: Difference-in-Differences Estimates

	(1) Baseline DiD	(2) Time-Varying Controls	(3) Player FE
HighVolume	0.058* (0.034)	—	—
HighVolume $\times$ Post2015	0.192*** (0.048)	0.141** (0.056)	0.119** (0.054)
HighAccuracy	−0.031 (0.031)	—	—
HighAccuracy $\times$ Post2015	−0.046 (0.048)	−0.047 (0.049)	−0.026 (0.040)
PTS per Game	0.075*** (0.003)	—	—
TRB per Game	0.122*** (0.006)	—	—
AST per Game	0.058*** (0.007)	—	—
Age	0.094*** (0.002)	—	—
Season FE	Yes	Yes	Yes
Player FE	No	No	Yes
Time-Varying Controls	No	Yes (interacted)	No
SE Type	HC3	HC3	Clustered (Player)
N	6,403	6,403	6,403
R²	0.526	—	0.777

Notes: The dependent variable is $\ln(\text{nominal salary})$. HighVolume = 1 if $3\text{PA/G} \geq 2.329$; HighAccuracy = 1 if $3\text{P}\% \geq 0.350$ (pre-period top-tercile cutoffs). All specifications include season fixed effects and controls for PTS per G, TRB per G, AST per G, and Age. Standard errors in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

E Table 5: Robustness Check ‘– Combined Treatment (High Volume AND High Accuracy)’

Variable	Coefficient	Std. Err.	p -value
HighVolAndAcc $\times$ Post2015	0.152	—	0.001

Notes: HighVolAndAcc = 1 if a player simultaneously satisfies both the high-volume (≥ 2.329 3PA/G) and high-accuracy (≥ 0.350 3P%) thresholds. This combined premium (16.5%)

is smaller than the volume-only premium (21.2%), supporting the interpretation that volume drives the salary response.

F Table 6: Sensitivity of the Volume Premium to Alternative Break Years

Break Year	Post Indicator	Coef (HV×Post)	Std Err	<i>p</i> -value	R ²
2012	Season ≥ 2013	0.054	0.048	0.264	0.5248
2013	Season ≥ 2014	0.105	0.047	0.026	0.5251
2014	Season ≥ 2015	0.171	0.047	0.000	0.5257
2015	Season ≥ 2016	0.192	0.048	0.000	0.5260
2016	Season ≥ 2017	0.181	0.050	0.000	0.5258
2017	Season ≥ 2018	0.151	0.053	0.004	0.5255
2018	Season ≥ 2019	0.167	0.056	0.003	0.5256
2019	Season ≥ 2020	0.091	0.059	0.123	0.5251

Notes: Each row re-estimates the baseline DiD specification using a different break year. The 2015 break yields the largest interaction coefficient and highest R^2 , supporting its selection as the structural break.

G Table 7: Robustness to Alternative Volume Cutoffs

3PA/G Cutoff	N Treated	Coef (HV×Post)	Std Err	<i>p</i> -value
≥ 1.500	3,485	0.159	0.050	0.001
≥ 2.000	2,958	0.161	0.048	0.001
≥ 2.329	2,625	0.192	0.048	0.000
≥ 2.500	2,463	0.198	0.048	0.000
≥ 3.000	1,980	0.240	0.048	0.000
≥ 3.500	1,545	0.264	0.050	0.000

Notes: Each row reports the DiD interaction coefficient from a specification identical to the baseline model but using a different 3PA/G cutoff to define HighVolume. The premium is significant at every cutoff and grows monotonically with the threshold stringency, confirming that the result is robust to the specific cutoff choice. The baseline cutoff (≥ 2.329) corresponds to the pre-period top-tercile.

H Table 8: Continuous Treatment DiD (3PA/G as Treatment Intensity)

Variable	(1) Full Sample	(2) Both-Period	(3) Both-Period + Player FE
3PA/G	0.0150 (0.0090)	−0.0043 (0.0107)	—
3PA/G $\times$ Post2015	0.0422 (0.0101)	0.0285 (0.0120)	0.0395 (0.0170)
<i>p</i> -value (interaction)	< 0.001	0.018	0.020
Season FE	Yes	Yes	Yes
Player FE	No	No	Yes
SE Type	HC3	HC3	Clustered (Player)
N	6,403	3,404	3,404

Notes: The dependent variable is $\ln(\text{nominal salary})$. 3PA/G is used as a continuous treatment intensity measure rather than a binary indicator, eliminating concerns about players switching treatment group status. Column (1) uses the full sample. Column (2) restricts to the 387 players appearing in both the pre- and post-2015 periods. Column (3) adds player fixed effects to this subsample, identifying the coefficient from within-player variation only. All specifications include controls for PTS per G, TRB per G, AST per G, and Age. Standard errors in parentheses.

I Table 9: Sensitivity of Results to Minimum Games Played Cutoff

Min Games	N	Vol Cutoff	Coef (HV×Post)	Std Err	<i>p</i> -value
≥ 0	7,018	2.232	0.226	0.053	< 0.001
≥ 5	6,708	2.274	0.187	0.050	< 0.001
≥ 10	6,403	2.329	0.192	0.048	< 0.001
≥ 15	6,147	2.407	0.175	0.046	< 0.001
≥ 20	5,889	2.479	0.156	0.045	< 0.001
≥ 25	5,635	2.528	0.142	0.044	0.001
≥ 30	5,384	2.603	0.123	0.045	0.006
≥ 41	4,761	2.736	0.109	0.046	0.017
≥ 58	3,494	3.000	0.134	0.051	0.009

Notes: Each row re-estimates the baseline DiD using a different minimum-games-played threshold. The volume cutoff is recalculated as the pre-period top-tercile for each subsample. The coefficient is significant at every cutoff ($p \leq 0.02$). The baseline cutoff (≥ 10) corresponds to the 10th percentile of the games-played distribution. Players with fewer than 10 games have a median salary of \$195,650 (68.8% below \$500,000), suggesting non-guaranteed or two-way contracts. The coefficient of variation of 3PA/G drops from 1.42 (1-4 games) to 1.08 (10-19 games), indicating per-game statistics stabilize above the cutoff.

J Table 10: Treatment Group Stability Diagnostics

Specification	Sample	N	Players	Coef	<i>p</i> -value
Full sample, time-varying (baseline)	All players	6,403	1,414	0.192	<0.001
Pre-cohort only, time-varying	Pre-period only	4,878	861	0.038	0.494
Pre-cohort only, static (pre-avg)	Pre-period only	4,878	861	-0.044	0.366
Both-period, time-varying	Both periods	3,404	387	0.108	0.073
Both-period, continuous + player FE	Both periods	3,404	387	0.0395	0.020
Pre-cohort, innate ability (cont.) + player FE	Pre-period only	—	861	0.0182	0.486

Notes: This table diagnoses the sensitivity of the main result to treatment group definition and sample composition. Of the 1,414 unique players in the full sample, 861 appear in the pre-period, 940 in the post-period, and 387 in both. Post-only entrants (553 players) have a HighVolume rate of 42.4%, compared to 24.8% for pre-only exiters (474 players), demonstrating the compositional shift toward three-point shooters. The "static" definition classifies players by their pre-period average 3PA/G rather than contemporaneous values, but does not include player fixed effects. The "both-period, continuous + player FE" specification (row 5) uses 3PA/G as a continuous treatment intensity with player fixed effects, identifying the behavioral mechanism from within-player variation. The "innate ability (continuous) + player FE" row (row 6) is the most demanding test of the valuation channel: it constructs a fixed, pre-determined measure of each player's shooting type as their pre-period (≤ 2015) average 3PA/G, interacts this static attribute with Post2015, and includes both player and season fixed effects. Because the innate ability measure is computed entirely from pre-2015 data, it cannot be influenced by post-2015 salary dynamics. The insignificant coefficient (0.0182, $p = 0.486$) confirms that the market did not blindly reward players merely for having been high-volume shooters before 2015; the premium required behavioral adaptation or compositional replace-

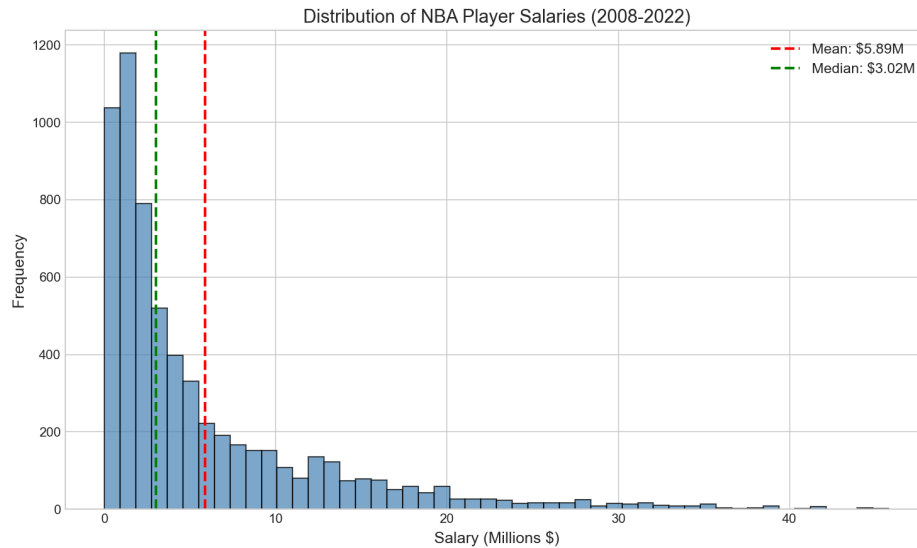
ment. 38.4% of multi-season players switch HighVolume status at least once.

K Table 11: Lagged Treatment Robustness Check (Treatment in $t - 1$ predicting Salary in t)

Variable	Coefficient	Std. Err.	p -value
HighVolume$_{t-1} \times \text{Post2015}$	0.2314	0.051	< 0.001
3PA/G$_{t-1} \times \text{Post2015}$	0.0474	0.012	< 0.001
N (Lagged Sample)	4,392	—	—

Notes: This table reports results where player performance metrics (3PA/G, Points, Rebounds, Assists) from the previous season (year $t - 1$) are used to predict log salary in the current season (year t). This temporal lag addresses potential simultaneity bias. The sample is restricted to the 4,392 player-season observations where the preceding season's data is available. Standard errors are HC3 robust.

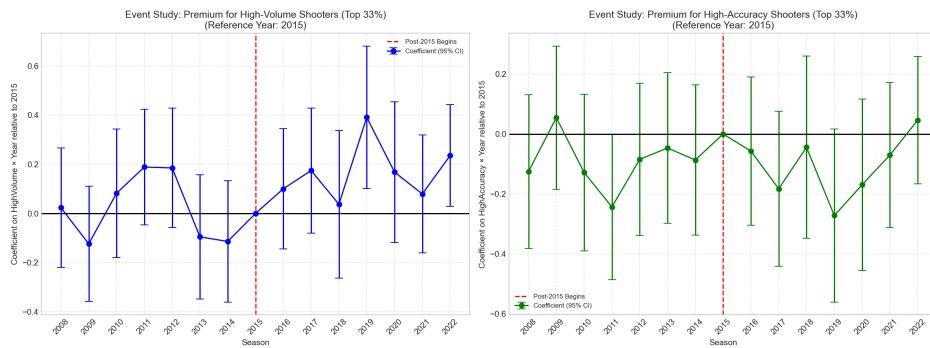
L Figure 1: Salary Histogram



Notes: Figure 1: Distribution of NBA Player Salaries (2008-2022). The data contains 6,403 player-season observations. Salaries are nominal and reported in millions of dollars. The

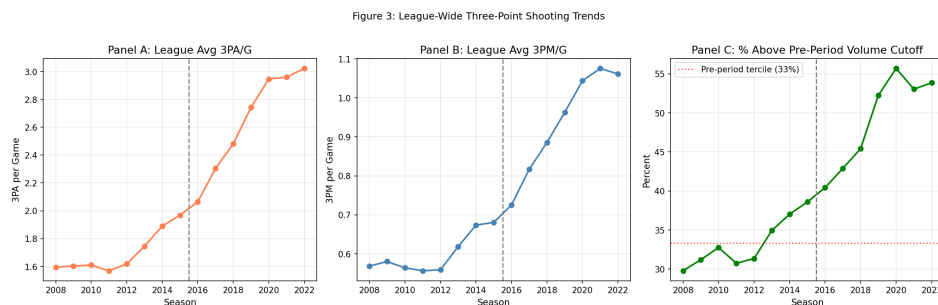
distribution is heavily right-skewed: the mean (\$5.76M, red dashed line) exceeds the median (\$3.09M, green dashed line) by \$2.67M, motivating the log transformation of the dependent variable.

M Figure 2: Event Study of Three-Point Shooting Salary Premiums



Notes: Figure 2: Event Study Coefficients for HighVolume and HighAccuracy Interactions (Reference Year: 2015). Left panel: the salary premium for high-volume shooters is flat and insignificant before 2015, then shifts sharply upward, confirming both the parallel trends assumption and the post-2015 structural break. Right panel: the accuracy premium remains indistinguishable from zero across the entire sample period.

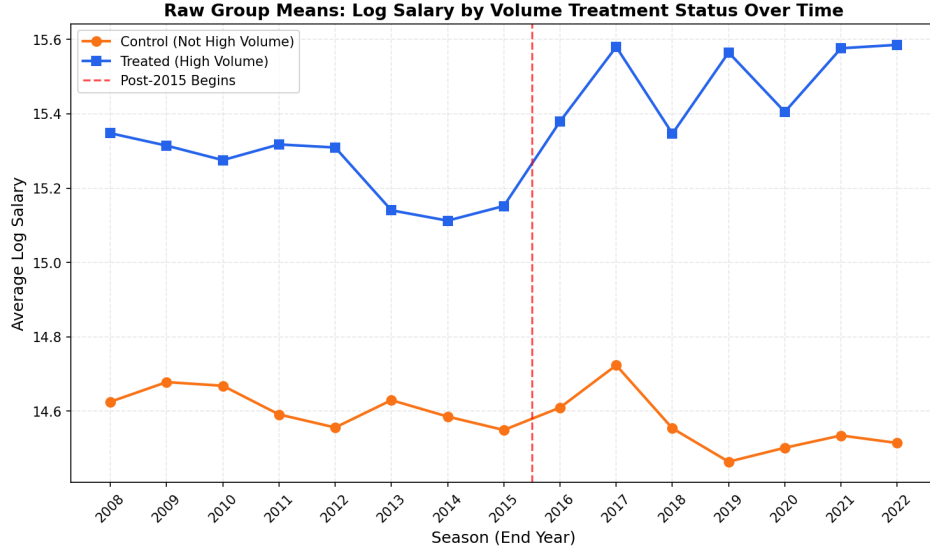
N Figure 3: League-Wide Three-Point Shooting Trends



Notes: Figure 3: League-wide 3-Point Attempt Trends (2008-2022). Panel A: The average number of 3PA/G in the NBA has surged by over 56% since 2015. Panel B: The average three-pointers made per game (3PM/G) has approximately doubled over the sample period,

tracking the growth in attempt volume. Panel C: The share of players exceeding the pre-period HighVolume threshold (≥ 2.329 3PA/G) has grown from roughly 33% to over 55%.

O Figure 4: Parallel Trends Check (Raw Means)



Notes: Figure 4: Raw Group Means of Log Salary by Volume Treatment Status (2008-2022). The treated (High Volume) and control groups track each other through the pre-period, supporting the parallel trends assumption. The gap widens visibly after 2015.

A Robustness Checks

A Alternative Volume Cutoffs

Table 7 tests the sensitivity of the DiD interaction coefficient to six alternative cutoffs ranging from 1.5 to 3.5 three-point attempts per game. The premium is statistically significant at *every* cutoff ($p \leq 0.001$ in all cases) and grows monotonically with the stringency of the cutoff: from 0.159 at the loosest threshold (≥ 1.5 3PA/G) to 0.264 at the strictest (≥ 3.5 3PA/G). This gradient confirms that the premium is not driven by an arbitrary cutoff choice and that higher volume commands proportionally greater market returns.

B Alternative Break Years

Table 6 tests every break year from 2012 through 2019 by re-estimating the baseline DiD with the Post indicator defined accordingly. The interaction coefficient for the 2015 break (0.192, $p < 0.001$) produces the highest goodness-of-fit ($R^2 = 0.5260$) and among the largest point estimates, with the 2014 and 2016 breaks yielding similar but slightly lower values (0.171 and 0.181, respectively). Break years before 2013 produce insignificant or weakly significant coefficients (2012: 0.054, $p = 0.264$), and later breaks (2019) show declining magnitudes (0.091). The 2018 coefficient (0.167) is slightly smaller but reflects a shorter post-period and lower power. Overall, these results confirm that the structural break is centered on the 2015-2016 transition, consistent with the narrative of Curry's MVP season.

C Continuous Treatment Specification

Table 8 reports the results from replacing the binary HighVolume indicator with the continuous three-point attempt rate (3PA/G) as the treatment variable. On the full sample (Column 1), the interaction coefficient (3PA/G $\times$ Post2015) is 0.0422 ($p < 0.001$), indicating that each additional three-point attempt per game leads to a 4.2% salary premium in the post-2015 era relative to the pre-period. For a player at the post-period mean volume of 2.65 3PA/G, the implied premium is approximately 11.2%.

The estimate survives progressively more demanding specifications. On the subsample of 387 players who appear in both the pre- and post-2015 periods (Column 2), the coefficient is 0.0285 ($p = 0.018$), indicating that the result is not driven by the entry and exit of players across the two periods. Under the most stringent specification – adding player fixed effects to this same both-period subsample (Column 3) – the coefficient is 0.0395 ($p = 0.020$), confirming that the *same individual player* earned approximately 4.0% more per additional three-point attempt per game in the post-2015 era. This continuous specification addresses the concern that binary treatment group switching biases the main estimates, as no player “switches” status under a continuous measure.

D Lagged Treatment Specification

To address simultaneity – where a player might endogenously increase volume in response to expected salary gains – I estimate a lagged specification using year $t - 1$ performance to predict year t salary. Because previous-season behavior is temporally prior, this eliminates reverse causality. Table 11 reports the results: the binary lagged interaction ($\text{HighVolume}_{t-1} \times \text{Post2015}$) is 0.2314 ($p < 0.001$), implying a 26.0% premium, and the continuous lagged coefficient is 4.7% per 3PA ($p < 0.001$). These estimates are consistent with – and if anything exceed – the contemporaneous baseline (21.2%), suggesting that simultaneity bias is negligible and does not account for the main result.

B Data Construction

A Data Manipulations and Sample Restrictions

Raw data contains noise that can bias econometric estimates if left untreated. To ensure the analysis captures meaningful statistical relationships, some data manipulations and restrictions were applied:

1. **Minimum Game Threshold:** The sample is restricted to players who appeared in at least 10 regular-season games during a given campaign. This threshold is justified for three reasons. First, 10 games corresponds to a natural statistical rationale removing the extreme lower tail of occasional appearances. Second, the 701 player-seasons excluded by this restriction have a median salary well below any standard rookie-scale contract, indicating that these observations predominantly represent non-guaranteed, two-way, or 10-day contracts that do not reflect the market’s valuation of basketball skill. Third, per-game statistics stabilize above 10 games. Table 9 confirms that the main DiD results are statistically significant at alternative cutoffs, consistent with the removal of noisy observations.

2. **Intra-Season Transactions and Deduplication:** In the NBA, when a player is traded midway through a season, their statistical output is split into multiple rows. To avoid artificially inflating the sample size and double-counting these athletes, the data was deduplicated.

To handle players who were traded mid-season, I retained only their season-total aggregate row (designated "TOT" in the data) and removed the partial-season rows corresponding to their stints with individual teams.

3. Handling Missing Observations: Observations lacking salary or core box-score controls were dropped. Missing values for 3P% were imputed as 0.00, since a player who attempts zero three-pointers in a season is not "missing" data but rather reflects a meaningful behavioral choice.

4. Nominal Salaries with Season Fixed Effects: Rather than deflating salaries with a CPI index, this analysis uses nominal salary figures paired with season fixed effects, which non-parametrically absorb all year-level variation including CPI inflation, salary cap growth, and CBA-driven structural shifts. This is strictly more flexible than manual deflation and avoids double-correction bias. Because the dependent variable is the natural logarithm of salary, the inclusion of season fixed effects mathematically absorbs any multiplicative year-specific deflator, rendering CPI adjustment redundant.

5. Derivation of the Outcome Variable: Player salaries are heavily right-skewed (mean \$5.76M vs. median \$3.09M; see Figure 1), so the dependent variable is the natural logarithm of nominal salary, yielding percentage-based coefficient interpretations consistent with the standard sports economics framework (Berri and Krautmann, 2006).

C Econometric Models

A Models 1–2: Baseline and Time-Varying Controls DiD

$$\begin{aligned} \ln(\text{salary}_{it}) = & \beta_1 \text{HighVolume}_{it} + \beta_2 \text{HighAccuracy}_{it} \\ & + \beta_3 (\text{HighVolume}_{it} \times \text{Post2015}_t) \\ & + \beta_4 (\text{HighAccuracy}_{it} \times \text{Post2015}_t) \\ & + \gamma X_{it} + [\psi(\text{Post2015}_t \times X_{it})] + \delta_t + \varepsilon_{it} \end{aligned}$$

Where X_{it} includes PTS per G, TRB per G, AST per G, and Age, and δ_t denotes season fixed effects. The coefficients of interest are β_3 and β_4 . Model 1 (baseline) omits the brack-

eted term; Model 2 includes it, interacting all controls with Post2015 to absorb any post-2015 repricing of general box-score productivity. Consistency of estimates across models serves as a robustness check. Standard errors use the HC3 estimator.

B Model 3: DiD with Player Fixed Effects

$$\begin{aligned}\ln(\text{salary}_{it}) = & \beta_3(\text{HighVolume}_{it} \times \text{Post2015}_t) + \beta_4(\text{HighAccuracy}_{it} \times \text{Post2015}_t) \\ & + \gamma X_{it} + \alpha_i + \delta_t + \varepsilon_{it}\end{aligned}$$

The player fixed effect α_i absorbs all time-invariant individual characteristics such as draft position, natural athleticism, franchise status, and positional baseline salary. This is the most demanding specification. Identification of β_3 and β_4 relies exclusively on within-player variation: the interaction coefficients reflect how the same player's salary changes as they operate in high-volume mode across the pre- and post-2015 periods. Standard errors are clustered at the player level to account for serial correlation within individuals.

C Model 4: Event Study

$$\begin{aligned}\ln(\text{salary}_{it}) = & \beta_1 \text{HighVolume}_{it} + \beta_2 \text{HighAccuracy}_{it} \\ & + \sum_{t \neq 2015} \beta_{3t} (\text{HighVolume}_{it} \times \mathbf{1}\{\text{year} = t\}) \\ & + \sum_{t \neq 2015} \beta_{4t} (\text{HighAccuracy}_{it} \times \mathbf{1}\{\text{year} = t\}) \\ & + \gamma X_{it} + \delta_t + \varepsilon_{it}\end{aligned}$$

This specification replaces the single Post2015 dummy with year-by-year interactions, where 2015 is the omitted reference year. The estimated β_{3t} and β_{4t} coefficients and their 95% confidence intervals are plotted over time (Figure 2). Pre-2015 coefficients test whether treated and control player salaries followed parallel trends before the treatment period, while post-2015 coefficients reveal the trajectory and magnitude of the emerging wage premium for each treatment dimension.

D Model 5: Continuous Treatment DiD

$$\ln(\text{salary}_{it}) = \beta_1 \text{3PA/G}_{it} + \beta_3 (\text{3PA/G}_{it} \times \text{Post2015}_t) + \gamma X_{it} + \delta_t + \varepsilon_{it}$$

This specification replaces the binary HighVolume indicator with the continuous three-point attempt rate (3PA/G), treating shooting volume as a dose-response rather than a binary classification. The coefficient β_3 captures the change in the marginal return to each additional three-point attempt per game after 2015. The continuous formulation offers two advantages over the binary treatment. First, it avoids the arbitrary choice of a volume cutoff and thus eliminates the concern that players switch treatment status across seasons – there is no discrete group to switch in or out of, only a continuous measure of shooting intensity. Second, it permits estimation on subsamples where the binary specification loses power, including the subset of 387 players who appear in both the pre- and post-2015 periods (with and without player fixed effects).

D Identifying Assumptions

A Exogeneity of the 2015 Threshold

The 2015 threshold is motivated by the confluence of Curry’s MVP season, the Warriors’ championship success, and the television deal. While Figure 3 Panel A shows that the upward trajectory in league-wide three-point attempts began prior to 2015, the 2015-16 season represents the inflection point where this on-court trend translated into a structural shift in salary valuation. It must be the case that no other unobserved changes coincided that differentially affected three-point specialists’ salaries for reasons unrelated to their shooting skill. The 2016 salary cap spike is the primary confound, but season fixed effects directly absorb this league-wide level shift. To further validate the break year choice, Table 6 presents a sensitivity analysis testing every possible break year from 2012 to 2019. The 2015 break produces the largest and most statistically significant coefficient (0.192, $p < 0.001$) alongside the highest R^2 , confirming 2015 as the breakpoint for market compensation.

B No Spillovers (SUTVA)

The NBA salary cap creates a zero-sum constraint on team spending. If teams reallocated spending toward three-point shooters after 2015, non-shooters' salaries may have declined mechanically, inflating the estimated treatment effect. While the NBA's "soft cap" structure and the massive 2016 cap spike partially mitigate this concern, it remains valid. The estimated treatment effect should thus be interpreted as an *upper bound* on the true revaluation of shooting skill, as a portion of the measured gap may reflect cap-constrained redistribution from non-shooters to shooters.

C Contract Lock-In and Measurement Error

Multi-year contract lock-in creates classical measurement error in the dependent variable. NBA players frequently sign three-to-five year guaranteed contracts, meaning their current-year salary reflects a valuation made one to five years prior. A player whose three-point shooting skill developed after signing a long-term deal will appear underpaid, while a player who regressed will appear overpaid. This introduces attenuation bias, likely causing the estimated premium to be a *lower bound* of the true contemporaneous market valuation.

E Additional Results

A Combined Treatment

Table 5 reports results from a specification collapsing the two treatment dimensions into a single indicator ($\text{HighVolAndAcc} = 1$ if a player simultaneously satisfies both the high-volume and high-accuracy thresholds). The interaction coefficient is 0.152 ($p = 0.001$), corresponding to a 16.5% premium. The fact that the combined premium (16.5%) is *smaller* than the volume-only premium (21.2%) is striking. It implies that adding accuracy to volume does not further increase the salary return. If anything, restricting to dual-qualified players decreases the estimate because the smaller treated sample (higher standard errors) and the par-

tial collinearity with the points control (accurate shooters score more from Volume) reduce power. This result strongly supports the interpretation that volume, not accuracy, drives the post-2015 premium.